

Personal Financial Planning

Budgeting Incomes & Payments

Time Value of Money

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Lecture 2

Learning Objectives

- Understand personal budgeting concepts
- Differentiate income and expenses
- Learn the Time Value of Money (TVM)
- Apply TVM using real-life examples

What is Personal Budgeting?

Definition

A personal budget is a financial plan that allocates income towards expenses, savings, and investments.

- Control spending
- Avoid debt traps
- Achieve financial goals

Why Budgeting Matters

- Income is limited, wants are unlimited
- Helps manage inflation and uncertainty
- Foundation of financial independence

Types of Income

- Salary / Wages
- Business Income
- Rental Income
- Interest, Dividends
- Government Transfers

Types of Expenses

- Fixed Expenses (rent, EMIs)
- Variable Expenses (food, transport)
- Discretionary Expenses (entertainment)
- Emergency Expenses

50–30–20 Budget Rule

- 50% Needs
- 30% Wants
- 20% Savings & Investments

Key Idea

Simple rule for young earners and beginners

Example: Monthly Budget

- Monthly Income: 50,000
- Needs (50%): 25,000
- Wants (30%): 15,000
- Savings (20%): 10,000

Case Study 1: Young Professional

Profile

Age 25, IT employee, income 40,000/month

- Rent: 12,000
- Food & transport: 10,000
- Lifestyle expenses: 8,000
- Savings: 10,000

Common Budgeting Mistakes

- Ignoring irregular expenses
- Overestimating income
- No emergency fund
- Lifestyle inflation

Introduction to Time Value of Money

Core Principle

A rupee today is worth more than a rupee tomorrow

- Inflation
- Opportunity cost
- Risk

Why TVM Matters in Personal Finance

- Savings decisions
- Loan repayments
- Investment planning
- Retirement planning

Present Value (PV)

Definition

Value today of money to be received in the future

$$PV = \frac{FV}{(1 + r)^n}$$

Future Value (FV)

Definition

Value of current money at a future date

$$FV = PV(1 + r)^n$$

Example: Future Value

- Invest 10,000
- Interest rate: 10% per year
- Time: 5 years

$$FV = 10,000(1.10)^5 = 16,105$$

Example: Present Value

- Receive 50,000 after 3 years
- Interest rate: 8%

$$PV = \frac{50,000}{(1.08)^3} = 39,690$$

Compounding Effect

- Interest on interest
- Longer time = higher growth

Key Insight

Time is more powerful than amount

Case Study 2: Early vs Late Investor

- Person A starts at 25
- Person B starts at 35
- Same annual investment

Outcome Comparison

- Person A invests for 30 years
- Person B invests for 20 years
- Person A accumulates much more wealth

TVM and Loans

- EMI
- Interest burden
- Long tenure = higher total payment

Example: Loan Cost

- Loan: 5,00,000
- Interest: 12%
- Tenure: 5 years

Insight

Total repayment exceeds principal significantly

Inflation and Purchasing Power

- 100 today $>$ 100 tomorrow
- Inflation erodes real value

Budgeting + TVM Together

- Budget creates surplus
- TVM grows surplus
- Together build wealth

Key Takeaways

- Budgeting is discipline
- Time is money
- Start early, invest regularly

Discussion Questions

- Should young people avoid credit cards?
- Is saving more important than earning more?
- How does inflation affect student savings?